

DEPARTMENT OF ECONOMICS

ECONOMICS 114 A1

11 April 2023

Feedback Section C

Question 1

Some of the most common answers were simply stating income and substitution effect. It was clear that students didn't read their textbook with the slides.

Question 2

2.1) Students mistakenly said Technology B dominates Technology A. Quite a few students don't know how to plot the table to determine which technologies are dominated.

2.2) Students were able to get to the final answer of the isocost line. However many students lost a mark because they didn't write the production function ($c=wL+rK$), substitute and solve to find the equation.

2.3) Students didn't know how to calculate the relative price of labour. Majority of the students simply implied that because wage increased the price of labour will increase.

2.4) Students were able to calculate the different costs for each technology. The most common mistake was that they didn't account for the wage increase for technology C. Also given that the question asked which technology the farmer will employ, students didn't realise that implies the technology with the lowest costs.

2.5) Students simply don't know what innovation rent is or they used the wrong figures to calculate the innovation rent.

Question 3

3.1) Students were able to identify E as the most preferred point. However, it was clear that students don't know the properties of the indifference curves.

3.2) Most students were able to get to the answer. Those that were not able to don't know how to calculate opportunity cost.

3.3) Students were able to identify that C was the optimal point. Though common mistakes were that students got confused with question 3.1 and thought the answer was E.

Question 4

4.1. Most errors here are calculation errors, others have put the values in the wrong place in the formula.

4.2 Some students indicated the slope to be MRS or they described the slope to be the budget line, going on to define what the budget slope is. Others also gave the actual value of the slope, 3.5.

4.3 A lot of students calculated this wrongly as $28/6$ or 1.333.

4.4. Students did not use the phrase relative income or purchasing power, yet their explanations were correct. When students only gave relative price as an explanation it was marked wrong.

Question 5

5.1 Some gave 2 answers here, commonly Chicken Fillet, Chicken and the correct answer Texas Grill, Texas Grill. Another common error was them just selecting Chicken Fillet for both as the Nash. A few students also argued that there was no Nash equilibrium in the game. Texas Grill, Chicken Fillet was another common answer.

5.2 Students generally knew the correct definition of a social dilemma, but they struggled to apply it to the question well. Relatively only a small number of them mentioned pareto efficiency/ pareto improvement but a good number of them were able to identify Chicken fillet as a better option for both. There were a lot of students that mentioned that the two choosing where to have lunch was not important enough to be classified as a social dilemma as it wasn't something that affected everyone such as climate change and traffic jams. There was also quite some mention of it being/ not being a 'tragedy of commons'.